Eco401 MCQs (Lecture 1 - 18) -6 Solved by vuZs Team

ECO401 MCQs From Quiz No.2
MCQs Covering lectures from 1-18
Solved by vuZs Solution Team in conference chat
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The law of diminishing marginal utility states:
Select correct option:

The supply curve slopes upward.
Your utility grows at a slower and slower rate as you consume more and more units of a good. (Correct)
The elasticity of demand is infinite.
None of the given options.

The demand curve faced by an individual firm in a competitive market is:
Select correct option:

Upward sloping.
Downward sloping.
Horizontal. (Correct)
Vertical.

More output could be produced with available resources if:

Select correct option:

Resources are allocated efficiently. (Correct)
Resources are imperfectly shiftable among alternative uses.
Prices are reduced.
The economy is operating at a point inside the production possibilities curve

According to the law of diminishing marginal utility, as the consumption of particular good increases:

Select correct option:

Total utility increases.
Marginal utility increases.
Total utility decreases.
Marginal utility decreases. (Correct)

A demand schedule is best described as:

Select correct option:

A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus. (Correct)

A graphical representation of the law of demand.
A systematic listing of all the variables that might conceivably bring about a change in demand.
A symbolic representation of the law of demand: P, Q and P, Q.

The price elasticity of demand measures the responsiveness of quantity demanded to:

Select correct option:

Quantity demanded.

Quantity supplied.
Price. (Correct)
Output.

Economists who are concerned about the behavior of individual households, firms and industries are studying:
Select correct option:

Microeconomics (Correct)
Macroeconomics
Positive economics
Normative economics

If the demand curve for a good is downward sloping, then the good:

Select correct option:

Must be normal.
Must be inferior.
Must be Giffen.
Can be normal or inferior. (Correct)

The extra value that consumers receive above what they pay for that good is called:

Select correct option:

Producer surplus.
Utility.
Marginal utility. (Correct)
Consumer surplus.

In pure capitalism, freedom of enterprise means that:

Select correct option:

Businesses are free to produce products that consumers want. (Correct)
Consumers are free to buy goods and services that they want.
Resources are distributed freely to businesses that want them.
Government is free to direct the actions of businesses.

The principle economic difference between a competitive and a non-competitive market is:

Select correct option:

The number of firms in the market.

The extent to which any firm can influence the price of the product. (Correct)
The size of the firms in the market.
The annual sales made by the largest firms in the market.

Which of the following is a characteristic of a mixed economy?
Select correct option:

In mixed economy, resources are governed by both government and individuals.
Mixed economy utilizes the characteristics of both market economy and planned economy to allocate goods and services.
People are free to make their decisions and government controls the Defence.
All of the given options are true. (Correct)

The law of diminishing marginal utility indicates that the demand curve is:

Select correct option:

Vertical.

U shaped.
Upward sloping.
Downward sloping. (Correct)

In a production process, all inputs are increased by 10%; but output increases more than 10%. This means that the firm experiences:
Select correct option:

Decreasing returns to scale.

Constant returns to scale.
Increasing returns to scale. (Correct)
Negative returns to scale.

The burden of a tax is shifted toward buyers if:

Select correct option:

Demand is perfectly elastic. (Correct)

Demand is relatively more elastic than supply.

Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities.